THREE PILLARS OF ESG

ENVIRONMENTAL	
Climate Change	↘ **Carbon emissions**, carbon footprint, energy efficiency
Natural Resources	↘ **Raw materials** (including its sourcing), water management, land use, financing environmental impact
Pollution	↘ **Toxic emissions**, waste management, electronic waste, packaging
Opportunities	↘ **Focus on renewable energy** (solar, wind etc), clean technology, green building
SOCIAL	
Human Resources	↘ **Labour issues** and management, local communities, indigenous people, health & safety, labour standards of suppliers etc.
Product	↘ **Product quality**, product safety, security of financial products, data privacy and safety, environment friendly product etc.
Opportunities	↘ **Improving communication** (telecommunication, data, software etc), access to funding, improving healthcare and finance
Stakeholders	↘ **Relationship** with suppliers and customers
GOVERNANCE	
Corporate behaviour	↘ **Business ethics**, anti-competitive practices, processes for preventing corruption, executive pay
Corporate governance	↘ **Ownership and management control**, protection of interests of minority shareholders, composition of board of directors, board diversity
Government & Public Policy	↘ **Political lobbying** and donations
Accounting standards	↘ **Compliance and practices**, tax strategy

from when large investor groups such as charities and endowment funds invested in ethical companies.

Currently, there are a handful of mutual funds that follow the ESG guidelines with funds that follow this theme. These are also evolving and though their asset base is not significant right now, it has the potential to grow. With investor awareness increasing and consciousness on where their money is invested on the rise, the interest in these funds is also rising. New funds that are lined up should make this space interesting for investors. Moreover, with a lot of media coverage and scrutiny, transparency is important for companies to operate.

IT IS WISE TO INVEST IN COMPANIES THAT FOLLOW CORPORATE GOVERNANCE BECAUSE TRANSPARENCY IN CONDUCT AND INTEGRITY PLAYS A MAJOR ROLE IN PROFIT-GENERATION

Does ESG investing work? If one analyses funds solely on the returns parameter, ESG may not fit in well. But, returns are not the only factors on which one invests based on the ESG principles and one could debate this. For instance, based on ESG principles, one may shun to invest in pharmaceutical companies because of animal testing. However, if you see the upside of how vaccines save lives and many other life-saving drugs that have been developed you may see merit in them being within the ESG ambit.

To invest in companies that follow ESG and score high on ESG ratings, as well as mutual funds that follow the ESG guideline, the investment opportunity—though limited—is immense. You need to make hard decisions before committing to investing in these funds, sticking to your beliefs and ensuring that the fund managers practice the investment principles laid down when investing in such funds. ■

–Narayan Krishnamurthy